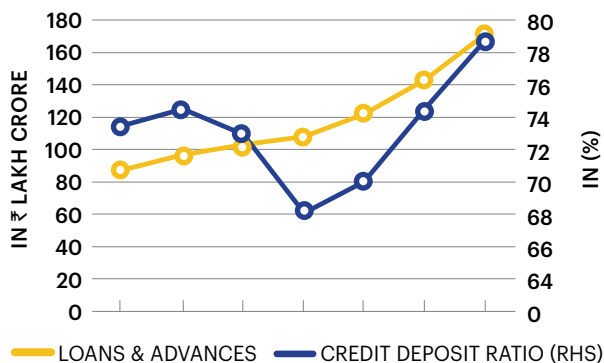


INDIA'S CREDIT PUZZLE

► Retail lending has been on fire, but the corporate book is still in the slow lane ► A high credit-deposit ratio suggests banks may face funding pressures



SOURCE RBI

A PILL OF RISK



DEPOSITORS MAY AVOID SMALLER OR WEAKER LENDERS AS STRONGER BANKS WILL LIKELY OFFER HIGHER INTEREST RATES



BANKS ARMED WITH LOW-COST DEPOSITS COULD BE TEMPTED TO PARK SURPLUS FUNDS IN RISKIER ASSETS TO EARN HIGHER RETURNS



THERE IS SOME REGULATORY RISK AS IT IS DIFFICULT TO DEFINE A 'BETTER' OR 'STRONGER' BANK



BANKS' EXPOSURE TO RISKY CAPITAL MARKETS MAY INCREASE WITH LENDING AGAINST SHARES



MANY BANKS ARE NOT ADEQUATELY EQUIPPED TO ASSESS CORPORATE M&As AMID GLOBAL DISRUPTIONS



BANKS' CONCENTRATION RISK MAY RISE WITH HIGHER EXPOSURE TO LARGE CONGLOMERATES

those safeguards. Indian banks are well aware of this. In India's own boom years between 2004 and 2008, several Indian companies made billion-dollar acquisitions. When demand cratered after the global financial crisis (GFC) in 2008, many of those deals failed to deliver, resulting in massive write-offs.

The RBI must set up a framework for acquisition financing balancing assets and liabilities management risks, governance risks for related parties and effective end-use of funds to make the product successful, advises Iyer of Grant Thornton Bharat.

While Iyer believes there is enough know-how within the country to assess M&A risks effectively, he adds that talent may not be equally available at all banks. Each bank will need to have an effective people and talent strategy to staff M&A credit teams.

Indian banks can draw parallels from leading global institutions by adopting scenario-based stress testing. This incorporates both macroeconomic and sector-specific shocks, including forming cross-functional teams with external advisors to conduct thorough due diligence on complex transactions. "Benchmarking against international deal structures and integrating advanced analytics and AI can strengthen risk assessments," Shah says.

CREDIT RELAXATIONS

There is now a danger of overexposure to large groups or conglomerates. Unlike in the past, these conglomerates are moving away from traditional sectors into newer areas that are both risk-prone and highly competitive.

Banks' funds are likely to flow into riskier areas. "We have already seen in earlier cycles how large groups became over-leveraged in the steel and construction sectors," says an analyst. Any reckless exposure could have serious implications for banks in terms of provisioning, capital adequacy, and may even trigger a chain reaction of defaults across the banking system.

There is a liquidity risk in lending against shares, REITs and InvITs. The latter two are traded on exchanges like equities. In the past, pledged shares have created havoc during sharp market crashes.

Similarly, the market prices of REITs and InvITs fluctuate daily based on the outlook for their underlying assets—typically commercial real estate or toll roads. If the value of these underlying assets falls, market prices of REITs and InvITs would decline, putting pressure on banks to seek additional margins from borrowers or liquidate their pledged holdings in the market.

Another measure requires banks to pay insurance premiums that reflect their individual risk levels. This is a good step but with a flip side. Depositors today go by brand names. "Tomorrow, they could shift to banks with higher interest rates without worrying about where the funds are being deployed," says a banker. **BT**